Applied Materials | Q4 FY2026 earnings

NOVEMBER 13, 2026 / NASDAQ AMAT / USD PER DILUTED SHARE

Q4 2027 ceiling	Same-window revision	Analytical Base	Protected Excel Base	Nov. 12 close
$538.41	+2.19%	47/60 (78%)	77	$380.95

Applied has more visibility on customer equipment needs. The largest customers now provide rolling eight-quarter forecasts and place orders earlier. DRAM, leading-edge logic and advanced packaging drive the next leg. Supplier capacity, trained workers and customer cleanrooms still limit when sales are booked.

The model values $21.54B of GAAP operating profit from Q4 2027 through Q3 2028 at 20×, using 800M diluted shares. That gives $538.41, up from $526.87. Most of the lift comes from earlier tool deliveries that the company can turn into accepted sales.

The analytical Base rises from 77 to 78 after the stronger quarter and improved order visibility. The protected workbook score is 77. Valuation assumes recurring acquisition costs and share compensation are expenses, with no separate cash, investment or buyback value.

Issuer earnings release · Prepared remarks · Management Q&A · Regular-session price

The earnings print and the next quarter

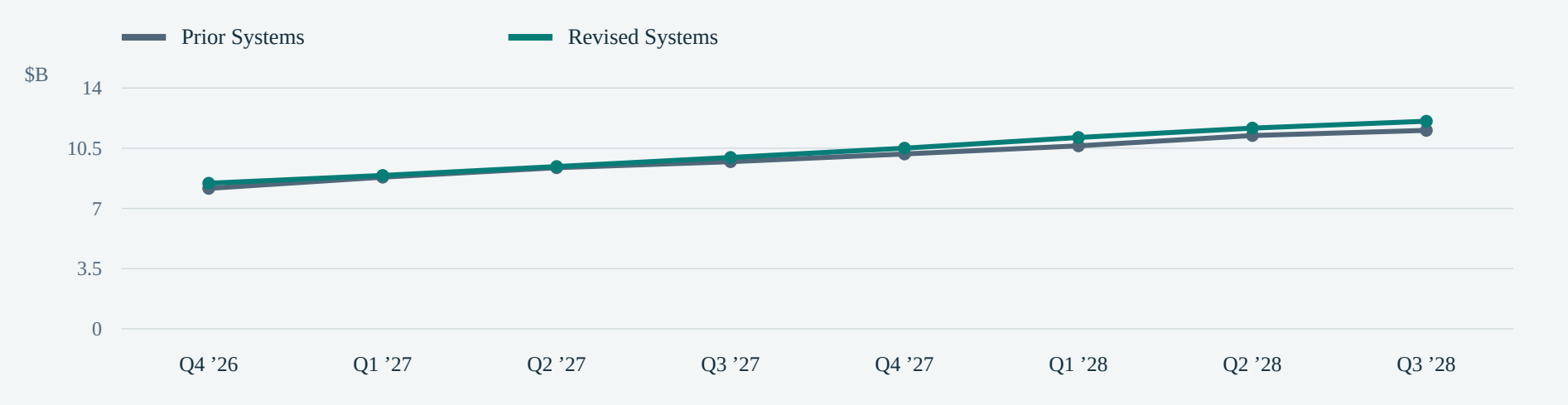
Measure	Fiscal Q3 2026	Fiscal Q4 2026	Fiscal Q1 2027 midpoint
Revenue	$9,115M	$10,409M	$11,100M
GAAP gross profit	$4,586M	$5,251M	$5,632.8M estimated
GAAP operating expenses	$1,511M	$1,593M	$1,702M estimated
GAAP operating profit	$3,075M	$3,658M	$3,930.8M estimated
Diluted EPS	$3.17 GAAP	$3.40 GAAP / $4.16 adjusted	$4.35 ± $0.20 adjusted
Fiscal period status	Reported	Reported	14 weeks. Revenue range $10.6–11.6B.

Fiscal Q4 revenue rose 53% year over year and 14% from Q3. Systems generated $7,996M, services and spares $1,896M, and Other $517M. Q4 GAAP operating margin reached 35.1%. Fiscal 2026 ended at $34,446M of revenue, $11,087M of GAAP operating profit and $6,196M of free cash flow.

For fiscal Q1 management guides to approximately 50.8% adjusted gross margin and $1.7B of adjusted operating costs. We restore about $8M of known acquisition charges. The model places $6M in cost of sales and $2M in expenses. The $0.04 tax benefit in the EPS outlook sits below operating profit. The forecast includes share compensation.

Q4 results and reconciliation · Q3 results · Fiscal Q1 outlook · Quarterly reconciliation

Equipment output and customer acceptance



Systems sales, USD B	Q4 ’26	Q1 ’27	Q2 ’27	Q3 ’27	Q4 ’27	Q1 ’28	Q2 ’28	Q3 ’28
Prior	8.17	8.82	9.37	9.72	10.17	10.64	11.24	11.54
Revised	8.47	8.92	9.44	9.97	10.50	11.13	11.67	12.07

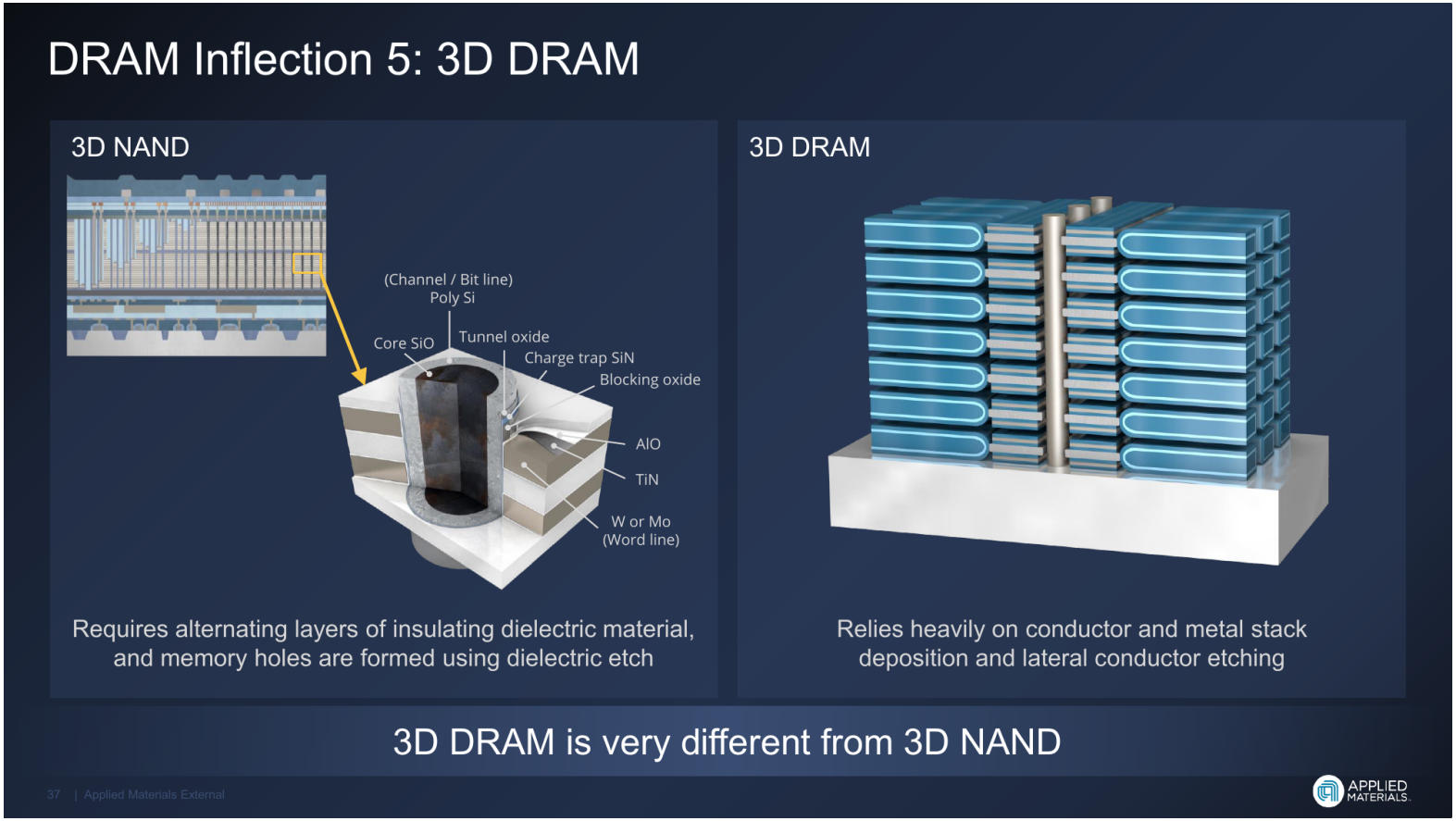
Management expects wafer fab equipment demand to rise more than 30% in 2027. It is tracking more than 20 fab ramps and line expansions and expects Applied to increase output each quarter. Doubling systems output by 2028 is a capacity goal. The forecast counts shipments as revenue as customers accept equipment.

The existing reference already includes much of the ramp. In the faster outcome, 60% of candidate additional shipments overlap with that plan. The slower outcome delays 2% to 3% of early systems sales, with 65% of a delayed cohort recovered next quarter. The rest falls out of the modeled path. Ramp costs include idle labor and field support.

Management’s view of demand and capacity · Q&A on quarterly output

Why the equipment mix matters

More difficult processes increase the value of tools that can deliver consistent yields. Applied can sell several tools into the same wafer flow. New DRAM cell structures and leading-edge logic support higher material and inspection intensity. The model groups these opportunities within the existing systems path and the qualification branch.

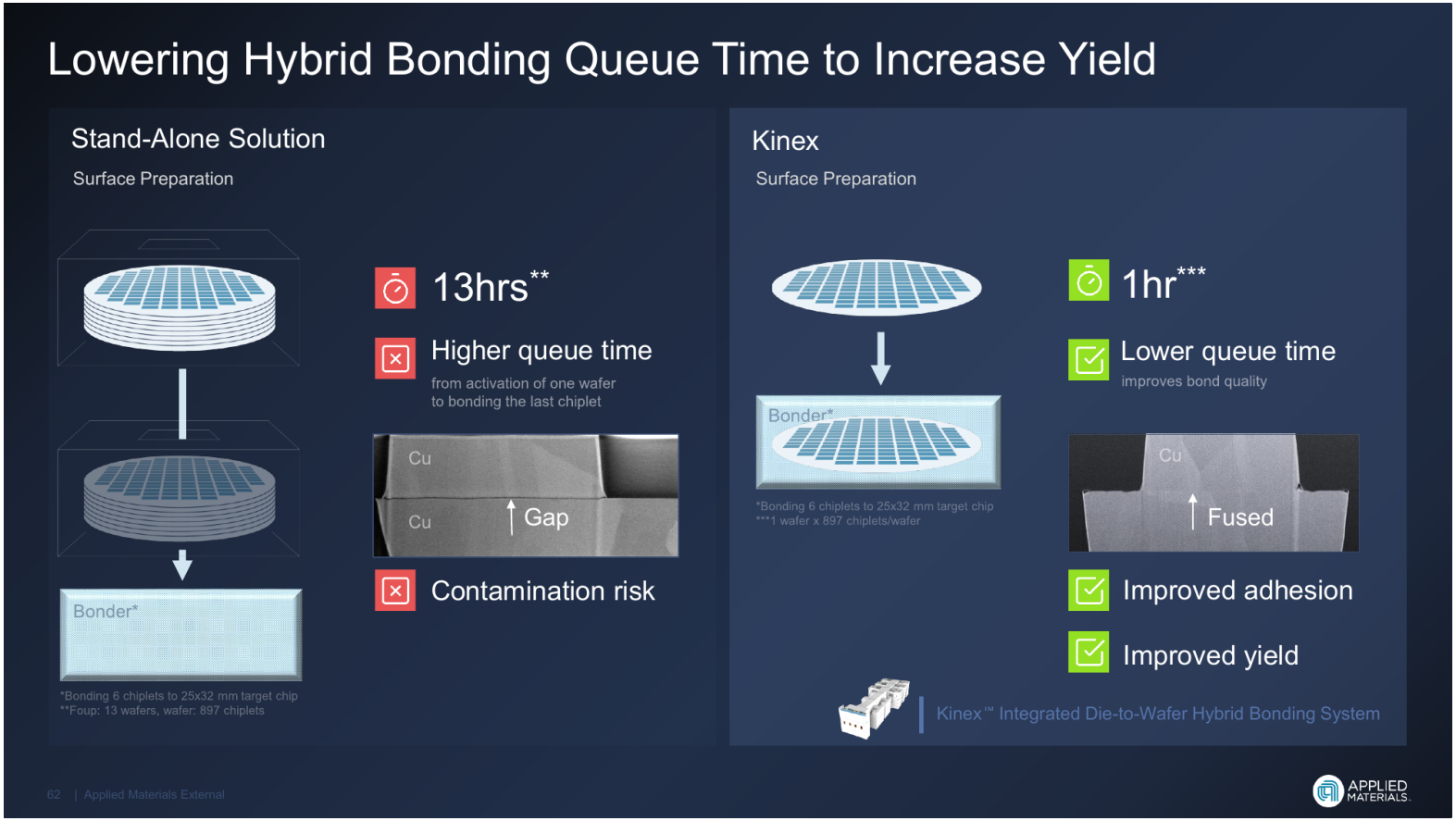


The technical roadmap shows the process changes for three-dimensional memory. Customer timing and the number of accepted tools still determine Applied's revenue.

Applied Materials technical masterclass, page 37

Packaging and qualification

Applied expects advanced packaging sales to rise about 90% in its calendar 2026, helped by high-bandwidth memory. It reports hybrid bonding use in leading logic. Memory customers are evaluating where to insert it. The same HBM, inspection and bonding work can draw on one equipment budget. The model pools the opportunity and credits sales after delivery and qualification.



The Kinex example illustrates shorter intervals between surface preparation and bonding. The slide compares different handling arrangements and does not provide a line-wide throughput forecast.

Applied Materials technical masterclass, page 62

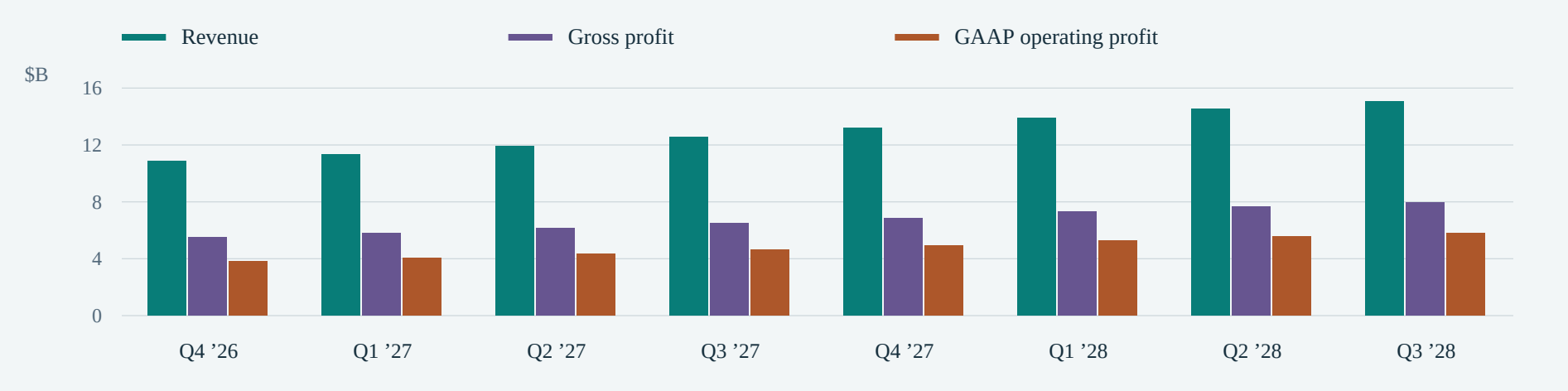
Services and other operations

Evidence	Financial transmission	What would change the model
Record services and spares	The fiscal quarter reached $1,896M in sales. The next fiscal guide is about $2B and management expects fiscal Q2 to stay near that level.	Sales per installed tool, paid renewals and utilization.
AIx installed base	More than 37,000 chambers are connected. Use a 2% to 4% incremental services case in 2027, with 65% overlap removed and 65% probability. Field support stays in the cost bridge.	Growth in paid service and parts demand across those tools.
Other, mainly display	Management suggested about $400M per quarter and near break-even for the combined segment. Display profits fund newer projects. The model carries this spending in consolidated costs.	Operating profit for Other and any reclassification.
EPIC co-development	Fifteen announced engagements support early qualification. The existing Kioxia, Besi, Intel and UCLA work does not carry four independent revenue lines.	Commercial tools qualified and accepted by customers.

China contributed $2.64B, about 25% of fiscal Q4 sales. Management expects China to grow more slowly than the AI-led regions and fall below 25% of company sales in 2027. The model retains a 25% probability of an incremental licensing or substitution hit after the current restrictions already reflected in the base forecast.

Applied Global Services and geography · Installed base and EPIC · Management Q&A on China and Other

Sales, gross profit and operating costs



USD B	Q4 ’26	Q1 ’27	Q2 ’27	Q3 ’27	Q4 ’27	Q1 ’28	Q2 ’28	Q3 ’28
Revenue	10.87	11.34	11.92	12.54	13.18	13.89	14.54	15.04
Gross profit	5.51	5.79	6.13	6.50	6.87	7.28	7.64	7.93
Operating expenses	1.67	1.73	1.78	1.85	1.93	2.01	2.09	2.16
GAAP operating profit	3.84	4.06	4.35	4.65	4.95	5.27	5.55	5.77

Pricing and mix helped Q4 gross margin, while onboarding and training costs partly offset the gains. The forecast carries growing engineering, sales and support costs. More accepted tools and better mix improve gross profit faster than expenses rise.

The 2030 margin goal is valued only on incremental GAAP profit above the revised forecast. The model starts with the issuer’s 54% adjusted gross-margin and 40% adjusted operating-margin goals, restores $100M of annual cost, subtracts the full active profit path, and weights the positive residual once at 65%.

Margin progression and ramp costs · Long-term profitability goals · Q&A on pricing

Evidence and forecast decisions

Signal	Weight	Bounded financial outcome and overlap	Q4 2027 contribution
REPRICE	70%, from 60%	A 1% to 3% premium on the half of Systems sales eligible for repricing. Use 2%. Remove half for overlap with the reference mix and margin ramp. Retain 85% gross profit after input costs and charge 5% for sales and support.	+$3.12
QUALIFY	60%, from 55%	$180M to $400M of gross calendar 2027 sales on qualification, with $280M selected. This is 40 tools at a modeled $7M each. Retain half of gross opportunity after overlap with the Systems path. Apply 56% gross margin, 20% variable support and $40M of calendar 2027 fixed engineering. HBM, logic bonding and process-control opportunities share this branch.	+$0.57
CHINA	25%	A 5% to 15% hit to a 24% exposed Systems pool. Use 10% and 50% recovery elsewhere. Charge 55% gross margin on lost revenue and allow 8% support savings. The base already includes current restrictions. China share can fall as other regions grow.	-$1.57
RAMP FAST / RAMP SLOW	60% faster, 40% slower	Conditional 2027 gross faster shipments of $2.13B across the Systems plan. Slower outcome defers about 2% to 3% of quarterly Systems sales. Remove 60% of faster sales already in the reference ramp. Apply 50% gross margin and 8% support. In the slower outcome, 65% of delayed tools return the next quarter. Idle costs apply on deferred equipment.	+$6.48
SERVICES	65%	Selected additional 2027 service activity of 2% to 4% before overlap, phased with installed tools. Remove 65% overlap with baseline spares, service and AIx. Apply 42% gross margin and 13% field support. Hardware selling prices and fab shipment volume remain separate.	+$0.75
2030 MARGINS	65%	Issuer goal near 54% gross margin and 40% operating margin in 2030. Restore $100M of annual excluded costs. Compare against the full revised GAAP path after pricing, qualification, delivery, services and export weights. Add only positive residual operating profit in calendar 2030.	$0 in active window

Each contribution is the probability-weighted operating-profit effect in the active four-quarter window, scaled by 20× and 800M shares. The faster and slower outcomes are the two sides of the same delivery path. The 2030 branch applies only in quarters with a positive residual.

Cash, capital spending and repayment

USD B	FY2026 reported	CY2027 estimate	CY2028 estimate	CY2029 estimate	CY2030 estimate
Capital spending	2.67	3.60	4.27	4.00	3.83
Free cash flow	6.20	11.67	15.19	17.95	20.15
Cash and short-term investments	9.34	11.76	14.80	18.25	22.13
Debt	6.53 carrying value	5.30	5.30	4.60	3.85

Reported Q4 free cash flow was $2.62B after $684M of capital spending. Applied spent $2B on buybacks and $421M on dividends. The quarter included a $637M noncash investment loss. It affects GAAP earnings below operating profit. Cash and short-term investments at fiscal year-end were $9.34B.

The cash bridge starts from the October balance and includes two months of the fiscal Q1 plan. It uses $6.60B of opening face debt, working capital tied to revenue, 13% book tax and a 14% cash-tax reserve. It funds the $1.2B note maturity in 2027, later maturities and flexible capital returns. This is a liquidity test with a fixed 800M valuation denominator.

In a slower delivery case with more working capital, 16% cash tax and 5% debt cost, minimum modeled cash and short-term investments are $9.57B. The corresponding faster and slower shipment ceilings are $545.68 and $527.50.

Cash flow, balance sheet and repurchases · Debt schedule

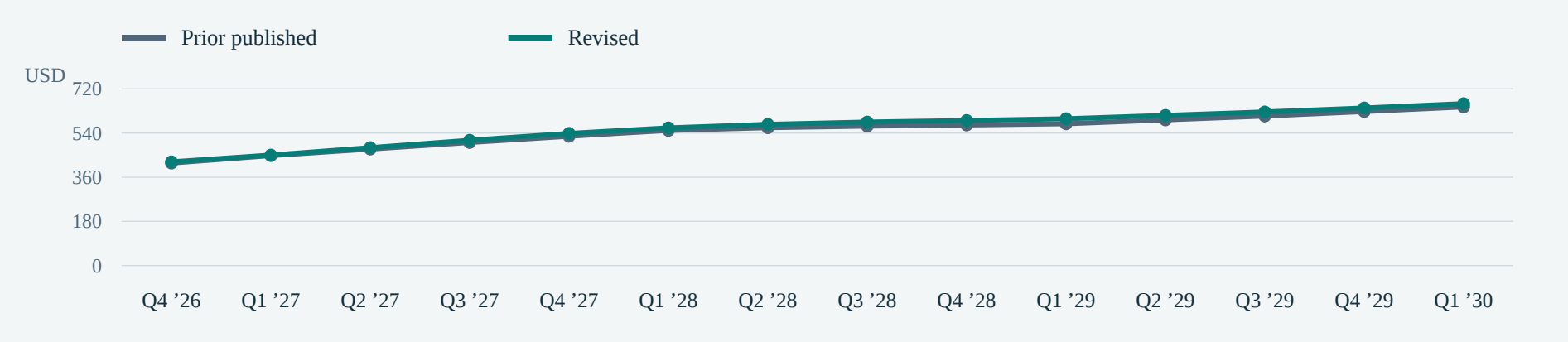
Analytical score and checkpoints

Factor	Points	Evidence
Core thesis	18/20	Qualified materials, integration and yield tools plus installed-base service. Customers can qualify alternatives at individual steps.
Cycle stage	9/10	A record Q4 and the next guide confirm a stronger expansion. Earlier orders and more than 20 customer ramps improve visibility. Cleanrooms and supplier output still set the pace.
Market expansion	8/10	Leading logic, DRAM and packaging increase process intensity. Services add a second source of growth as tools enter use. The same equipment spending underlies several of these signals.
Catalysts	4/5	Fiscal Q1 delivery, subsequent quarterly output gains and new DRAM and leading-logic fab ramps are measurable checkpoints.
Macro	9/10	AI-related wafer demand supports tool investment. Customer capital budgets and the broader equipment cycle remain important.
Alpha	2/5	Scale and pricing are widely followed. The useful test is how much new demand becomes accepted tools at the forecast margin.
Export controls and local competition	-1	China generated a quarter of Q4 sales. Licensing and local substitutes can still reduce the accessible pool.
Customer concentration	-1	A small set of large foundry and memory customers controls major node and fab investments.
Capacity and cycle	-1	Supplier components, trained labor and customer cleanrooms can delay acceptance. Later customer budget cuts could leave capacity underused.
Analytical Base	47/60	78 out of 100 on the analytical scale.

The one-point increase on the 60-point scale comes from the cycle score. Applied reported a stronger expansion and gained better visibility into customer orders. Its product breadth, market expansion and competitive risks stay in their established bands.

Watch next for accepted tools through fiscal Q2–Q4, service sales after the 14-week quarter, and margin gains net of ramp labor. A weaker cleanroom opening schedule, softer DRAM budgets or larger receivables would lower the probability of faster shipments.

Quarterly ceilings | USD per share



Valuation quarter	Forward window ends	Prior	Revised	Revision
Q4 2026	Q3 2027	$417.52	$422.50	+1.19%
Q1 2027	Q4 2027	$448.00	$450.13	+0.48%
Q2 2027	Q1 2028	$474.63	$480.35	+1.21%
Q3 2027	Q2 2028	$501.38	$510.49	+1.82%
Q4 2027	Q3 2028	$526.87	$538.41	+2.19%
Q1 2028	Q4 2028	$550.67	$560.94	+1.87%
Q2 2028	Q1 2029	$561.65	$575.46	+2.46%
Q3 2028	Q2 2029	$568.05	$584.81	+2.95%
Q4 2028	Q3 2029	$572.74	$591.10	+3.21%
Q1 2029	Q4 2029	$577.69	$598.23	+3.56%
Q2 2029	Q1 2030	$593.59	$611.91	+3.09%
Q3 2029	Q2 2030	$609.25	$626.00	+2.75%
Q4 2029	Q3 2030	$627.57	$642.10	+2.31%
Q1 2030	Q4 2030	$646.43	$659.68	+2.05%

The published Q3 2026 ceiling remains $387.57. Every current and future window uses four quarters of GAAP operating profit, 20× and 800M diluted shares.

How the active ceiling changed

Q4 2027 to Q3 2028, USD B	Previous	Revised	Change
Sales	55.26	56.65	+1.388
Gross profit	29.17	29.73	+0.556
Operating expenses	8.09	8.19	+0.094
GAAP operating profit	21.07	21.54	+0.461

The revised reference path adds $3.73 per share. The net change in probability-weighted signals adds $7.81 per share. Within the new case, the two shipment paths add a net $6.48 per share to the reference path.

The August guide was already high and the October model expected major gains in systems sales and profitability. Q4’s strong print and the next guide shift the starting point. The longer-dated model still needs several years of tool acceptance and meaningful operating leverage to meet the latest outlook.

Calendar Q4 2026 uses one-third of the reported fiscal Q4 and two-thirds of the fiscal Q1 guidance bridge. Later quarters use the same one-third/two-thirds mapping between fiscal quarters. Management’s own calendar-year shorthand uses four whole fiscal quarters, from fiscal Q2 to the next fiscal Q1.

Operating forecast | Q4 2026 to Q4 2028

Calendar quarter	Systems	Services	Other	Sales	Gross profit	Expenses	GAAP OP	OP margin
Q4 2026	8.47	1.97	0.44	10.87	5.51	1.67	3.84	35.3%
Q1 2027	8.92	2.02	0.40	11.34	5.79	1.73	4.06	35.8%
Q2 2027	9.44	2.09	0.40	11.92	6.13	1.78	4.35	36.5%
Q3 2027	9.97	2.17	0.40	12.54	6.50	1.85	4.65	37.1%
Q4 2027	10.50	2.28	0.40	13.18	6.87	1.93	4.95	37.5%
Q1 2028	11.13	2.37	0.40	13.89	7.28	2.01	5.27	37.9%
Q2 2028	11.67	2.46	0.40	14.54	7.64	2.09	5.55	38.2%
Q3 2028	12.07	2.57	0.40	15.04	7.93	2.16	5.77	38.3%
Q4 2028	12.27	2.67	0.40	15.33	8.07	2.23	5.85	38.1%

Full calendar year	Sales, USD B	GAAP OP, USD B	Capex, USD B	Operating margin
2027	48.98	18.01	3.60	36.8%
2028	58.80	22.44	4.27	38.2%

Amounts in the quarterly table are USD billions. The linked model carries the fiscal inputs, accepted shipments, gross profit, engineering and support costs, weighted earnings and the cash bridge.

Operating forecast | Q1 2029 to Q4 2030

Calendar quarter	Systems	Services	Other	Sales	Gross profit	Expenses	GAAP OP	OP margin
Q1 2029	12.30	2.74	0.40	15.44	8.12	2.27	5.85	37.9%
Q2 2029	12.41	2.80	0.40	15.62	8.24	2.31	5.93	38.0%
Q3 2029	12.59	2.87	0.40	15.86	8.37	2.35	6.02	38.0%
Q4 2029	12.81	2.95	0.40	16.17	8.53	2.40	6.13	37.9%
Q1 2030	12.92	3.04	0.40	16.36	8.76	2.36	6.40	39.1%
Q2 2030	13.10	3.13	0.40	16.62	8.90	2.40	6.49	39.1%
Q3 2030	13.42	3.22	0.40	17.04	9.12	2.46	6.66	39.1%
Q4 2030	13.75	3.32	0.40	17.47	9.36	2.52	6.84	39.1%

Full calendar year	Sales, USD B	GAAP OP, USD B	Capex, USD B	Operating margin
2029	63.08	23.93	4.00	37.9%
2030	67.50	26.39	3.83	39.1%

Amounts in the quarterly table are USD billions. The linked model carries the fiscal inputs, accepted shipments, gross profit, engineering and support costs, weighted earnings and the cash bridge.

Sources and open questions

Source or assumption	What it establishes
Fiscal Q4 earnings release and 8-K	Reported segment mix, GAAP earnings, cash flow and capital returned.
Official script, earnings slides and reconciliation	Guidance, the extra fiscal week, output targets and GAAP adjustments.
Q&A transcript	The CFO’s comments on quarterly output, pricing, China, services and display. Exact wording in the transcript can differ from the webcast.
October investor briefing and June technical slides	Long-term margin targets and engineering context. The retained images show the original process comparisons.
Missing customer data	Exact orders, acceptance dates, tool prices, supplier commitments and incremental service gross margin. The report uses the bounded estimates above.
Independent demand context	SEMI’s July estimate had wafer fab equipment growth near 22% in 2027. Applied now sees demand growth above 30%. The scopes and dates differ. Neither estimate is copied into company revenue.

Earnings 8-K · Issuer slides · Call replay · Q&A transcript

October investor briefing · SEMI July equipment forecast

The original Q3 forecast remains in the prior workbook and the current workbook’s published-history block. The FY2026 earnings and fiscal Q1 guidance appear separately from that archived forecast.